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Date:

GAIN Report Number:

Turkey

Oilseeds and Products Update

Soybean and products update

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Report Highlights:

MY 2012 Turkish soybean area and production are estimated about 20,000 hectares and 70,000 MT. High temperatures during the season adversely affected yields. Turkey's production of both poultry and livestock are growing, pushing up demand for imported soybean and meal. Turkey imported a total 1.05 MMT of soybeans during the MY 2011 and the US supplied about half of it, 0.5 MMT. Turkey also imported 915,000 MT of soy meal and the US supplied 180,000 MT during the marketing year. In September Turkey reduced import taxes on soybean and meal to zero and 5 percent from 8 and 13.5 percent respectively.

Post:
Ankara

Soybean

Soybean PSD

Oilseed, Soybean Turkey	2010/2011		2011/2012		2012/2013	
	Market Year Begin: Sep 2010		Market Year Begin: Sep 2011		Market Year Begin: Sep 2012	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	17	18	15	12	15	20
Area Harvested	18	18	12	12	20	20
Beginning Stocks	701	409	644	361	401	188
Production	72	72	50	50	75	70
MY Imports	1,351	1,350	1,057	1,057	1,200	1,300
MY Imp. from U.S.	419	419	300	509	500	550
MY Imp. from EU	0	6	0	0	0	0
Total Supply	2,124	1,831	1,751	1,468	1,676	1,558
MY Exports	0	0	0	0	0	0
MY Exp. to EU	0	0	0	0	0	0
Crush	490	500	320	380	335	400
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	990	970	1,030	900	850	950
Total Dom. Cons.	1,480	1,470	1,350	1,280	1,185	1,350
Ending Stocks	644	361	401	188	491	208
Total Distribution	2,124	1,831	1,751	1,468	1,676	1,558
CY Imports	1,298	1,298	1,125	1,125	1,350	1,300
CY Imp. from U.S.	305	305	350	650	415	500
CY Exports	0	0	0	0	0	0
CY Exp. to U.S.	0	0	0	0	0	0

Production

MY2012 domestic soy bean planting and production are now estimated about 20,000 hectares and 70,000 MT. Excessive heat during the season adversely affected yields in the Cukurova region. Efforts of the government to increase local production had not been successful due to higher income from competing crops, such as corn and cotton, in the region.

Consumption

Both domestic broiler and egg industries are having a very good year in 2012. While domestic demand is continuing to be strong with the help of tourism, exports are increasing as well. Exports of boiler meat and eggs are up about twenty-seven percent each during the first nine months of 2012, driving demand for imported soybean and meal. The Middle Eastern neighbors of Turkey are the leading export markets for Turkish broiler meat and eggs.

Trade

Total soy bean imports during the MY 2011 were 1.05 MMT compared to 1.35 MMT of a year ago due to demand shift to soybean meal because of crushing problems. United States (509,000 MT) and Paraguay (271,000 MT) were the leading supplier of soy beans, followed by Argentina (125,000 MT) and Ukraine (119,000 MT). Turkey also imported 157,000 MT of soybean during the month of September 2012. Paraguay was the leading supplier with 88,000 MT, followed by the US with 38,000 MT.

The GSM-102 export credit guarantee program for FY 2012 helped US soy bean and meal exports to Turkey. Total registration for both products reached US\$ 288 million during the fiscal year, of which US\$ 220 million were for soybeans and US\$ 68 million were for soybean meal.

Soybean meal PSD

Meal, Soybean Turkey	2010/2011		2011/2012		2012/2013	
	Market Year Begin: Oct 2010		Market Year Begin: Oct 2011		Market Year Begin: Oct 2012	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	490	500	320	380	335	400
Extr. Rate, 999.9999	1.	0.77	1.	0.7632	1.	0.775
Beginning Stocks	73	115	196	205	392	300
Production	387	385	253	290	264	310
MY Imports	557	533	910	915	650	650
MY Imp. from U.S.	125	125	120	181	120	250
MY Imp. from EU	143	143	0	438	0	100
Total Supply	1,017	1,033	1,359	1,410	1,306	1,260
MY Exports	8	8	8	10	8	12
MY Exp. to EU	0	0	0	0	0	0
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	813	820	959	1,100	1,082	1,030
Total Dom. Cons.	813	820	959	1,100	1,082	1,030
Ending Stocks	196	205	392	300	216	218
Total Distribution	1,017	1,033	1,359	1,410	1,306	1,260
CY Imports	572	542	800	1,000	650	650
CY Imp. from U.S.	120	120	120	300	120	150
CY Exports	10	10	8	10	8	12
CY Exp. to U.S.	0	0	0	0	0	0

Domestic production of soy meal declined to 290,000 MT due to low crushing margins due to limits on the use of soy oil as a result of Turkey's Bio safety Law. Consumption of soybean meal increased, however, due to increased imports as a result of low cost EU and South American supplies.

Turkey imported a total of 915,400 MT of soybean meal during MY 2011 compared to 533,000 MT in MY 2010. Argentina and the US were among the leading suppliers with 238,000 MT and 181,000 MT respectively. Turkey continued to import large amounts of EU sourced soy meal as well due to an import tax advantage. Imported soy meal from EU sources is subject to zero import tax as compared to 13.5% from other sources. Germany (218,000 MT) and Spain (200,000 MT) were the sources of EU

soy meal for Turkey. Recent changes in import taxes on meal to 5 percent from 13.5 percent is expected to work against EU soybean meal, and Turkish importers are expected to go back to traditional sources, namely the US and South America.

Turkey exported about 9,500 MT of soy meal during the marketing year. Turkish North Cyprus was the main destination with 5,800 MT. Turkey also exported soybean meal to nearby countries, namely Iraq (2,900 MT) and Iran (700MT).

Soybean oil PSD

Oil, Soybean	Turkey		2010/2011		2011/2012		2012/2013	
	Market Year Begin: Sep 2010		Market Year Begin: Sep 2011		Market Year Begin: Sep 2011		Market Year Begin: May 2012	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	490	500	320	380	335	400		
Extr. Rate, 999.9999	0.	0.19	0.	0.1921	0.	0.19		
Beginning Stocks	3	4	4	15	0	10		
Production	87	95	57	73	60	76		
MY Imports	3	3	2	1	2	2		
MY Imp. from U.S.	1	1	0	1	0	1		
MY Imp. from EU	1	0	1	0	1	0		
Total Supply	93	102	63	89	62	88		
MY Exports	4	5	4	4	4	4		
MY Exp. to EU	0	0	0	0	0	0		
Industrial Dom. Cons.	23	20	23	15	23	15		
Food Use Dom. Cons.	42	15	21	5	20	5		
Feed Waste Dom. Cons.	20	47	15	55	15	60		
-			0		0			
Total Dom. Cons.	85	82	59	75	58	80		
Ending Stocks	4	15	0	10	0	4		
Total Distribution	93	102	63	89	62	88		
CY Imports	2	2	2	2	2	2		
CY Imp. from U.S.	0	0	0	1	0	1		
CY Exports	5	5	4	4	4	4		
CY Exp. to U.S.	0	0	0	0	0	0		

The Bio safety Law limits the utilization of soy oil produced from biotech soybeans to be used only in feed and prevents its use in food and industry (mostly paint and ink production). Only locally grown and imported non-GM soy beans and oil are used in food. The great majority of imported and crushed soybeans are biotech varieties which adversely affects domestic crushing margins, which has caused production and consumption of soy oil to decline. Even though the industry received permission after long negotiations to use soy oil in paint production, so far high world soy oil prices have prevented greater utilization.

Total soy oil imports in MY 2011 were 1,200 MT and the US was the sole supplier. Exports were about 3,700 MT, the great majority (2,200 MT) of which was to Turkish Northern Cyprus, and 300 MT to Iraq.

Policy

In September 2012 the GOT lowered import taxes for both soybeans and soybean meal to prevent high world prices of both commodities from fueling increases in local food prices. Accordingly, soybean import tax has been reduced to zero percent from 8 percent, and soy meal import tax to 5 percent from

13.5 percent.